

These considerations do not gainsay the principle that untrained investors should confine themselves to the best regarded enterprises. It should be realized, however, that this preference is enjoined upon them because of the greater risk for them in other directions, and not because the most popular issues are necessarily the safest. The analyst must pay respectful attention to the judgment of the market place and to the enterprises which it strongly favors, but he must retain an independent and critical viewpoint. Nor should he hesitate to condemn the popular and espouse the unpopular when reasons sufficiently weighty and convincing are at hand.

QUALITATIVE AND QUANTITATIVE FACTORS IN ANALYSIS

Analyzing a security involves an analysis of the business. Such a study could be carried to an unlimited degree of detail; hence practical judgment must be exercised to determine how far the process should go. The circumstances will naturally have a bearing on this point. A buyer of a \$1,000 bond would not deem it worth his while to make as thorough an analysis of an issue as would a large insurance company considering the purchase of a \$500,000 block. The latter's study would still be less detailed than that made by the originating bankers. Or, from another angle, a less intensive analysis should be needed in selecting a high-grade bond yielding 3% than in trying to find a well-secured issue yielding 6% or an *unquestioned bargain* in the field of common stocks.

Technique and Extent of Analysis Should Be Limited by Character and Purposes of the Commitment. The equipment of the analyst must include a sense of proportion in the use of his technique. In choosing and dealing with the materials of analysis he must consider not only inherent importance and dependability but also the question of accessibility and convenience. He must not be misled by the availability of a mass of data—e.g., in the reports of the railroads to the Interstate Commerce Commission—into making elaborate studies of nonessentials. On the other hand, he must frequently resign himself to the lack of significant information because it can be secured only by expenditure of more effort than he can spare or the problem will justify. This would be true frequently of some of the elements involved in a complete “business analysis”—as, for example, the extent to which an enterprise is dependent upon